

C O M P L I A N C E R E A D I N E S S M A N U A L

Recovery Compliance 2026

Effective 1 October 2026

The RBI recovery-conduct rules taking effect 1 October 2026 — what every collection & recovery agency must follow, and **how SmartPRS already delivers it.**



About this manual

Purpose. A readiness manual for collection & recovery agencies and for anyone evaluating SmartPRS. For every payroll, HR and workforce-compliance obligation — anchored to the RBI recovery-conduct rules proposed to take effect on 1 October 2026 — it shows why it matters, what is required, how to comply, and the SmartPRS feature that already delivers it, with proof from the live product.

Why 1 October 2026 matters. RBI's revised draft directions on the conduct of recovery push obligations down onto the outsourced recovery agency — certified agents, verified staff, lawful conduct, call records, grievance handling — and the ability to prove all of it in a vendor audit. That makes a compliant Payroll + HRMS the operational backbone of every recovery agency.

Status note. As of 28 June 2026 the 1 October 2026 directions are a draft, not yet final law. Many obligations here are already binding under existing RBI circulars, labour law, the EPF/ESI/PT/Income-tax Acts and the DPDP Act, 2023 — tagged accordingly. Not legal advice.

How to read each point

Why — the rule and the risk · What — the requirement · How — how to comply · SmartPRS — the built feature (with a status badge) · Proof — where it lives in the product.

BUILT live & working today **PARTIAL** foundation built, enhancement underway **ROADMAP** planned for the 1 Oct 2026 window

A. Workforce onboarding & engagement

Lawful, documented engagement is the foundation an auditor checks first.

TOPIC	A1 — Appointment letter / employment order
Why	Proves a real, lawful employment relationship and is the legal basis for any deduction. [LABOUR] (Code on Wages)
What	Every agent receives a written appointment letter stating role, wages, deductions and statutory details.
How	Generate from a controlled template, e-sign, and retain in the employee file.
SmartPRS	[BUILT] HR Letters Suite generates appointment / offer / increment / relieving letters via template merge, auto-emails them and stores the PDF.
Proof	<i>letters + letter templates; LetterController (merge + PDF); employee document vault.</i>

TOPIC	A2 — Code of Conduct + acknowledgement
Why	RBI requires a recovery code of conduct and an undertaking that agents will abide by it. [RBI-NOW / DRAFT]
What	Each agent reads and acknowledges the recovery Code of Conduct.
How	Publish the CoC and capture a per-agent, timestamped acknowledgement.
SmartPRS	[BUILT] Code of Conduct module with per-agent acknowledgement tracking; collections CoC pre-seeded in the content pack.
Proof	<i>code_of_conduct_ack table; Knowledge/Compliance content pack.</i>

TOPIC	A3 — NDA / confidentiality undertaking
Why	Borrower-data confidentiality (RBI outsourcing) and the DPDP processor duty. [RBI-NOW / DPDP]
What	A signed confidentiality undertaking is held for every agent.
How	Issue an NDA, capture the signature, surface the status in the audit pack.
SmartPRS	[PARTIAL] Document vault stores signed undertakings today; a dedicated NDA template with e-sign status is being added.
Proof	<i>documents vault (kind / status / expiry).</i>

TOPIC	A4 — ID card + field authorisation letter
Why	Agents must carry an identity card and an authorisation letter naming the bank/portfolio and grievance officer. [RBI-NOW / DRAFT]
What	Issue ID cards and per-case / portfolio authorisation letters.
How	Generate ID cards and authorisation letters linked to bank + portfolio; collect on exit.
SmartPRS	[BUILT] ID-card PDF generation; Agent Authorizations record the bank, portfolio, authorisation number and validity.
Proof	<i>ID-card generator; agent_authorizations (bank, portfolio, auth_no, valid_to).</i>

TOPIC	A5 — Unique agent master record
Why	Every compliance artefact (certificate, BGV, payroll, audit) must hang off one identity.
What	One canonical record per agent with a unique employee code.
How	Maintain a single employee master as the source of all compliance flags.
SmartPRS	[BUILT] Employee master with unique code; on-roll and off-roll / vendor agents both supported.
Proof	<i>employees, offroll_agents; unique emp_code.</i>

B. DRA / IIBF certification

The recovery-specific qualification — an uncertified agent on a bank portfolio is a breach.

TOPIC	B1 — DRA certificate tracking
Why	RBI requires IIBF-certified recovery agents (100 hrs UG / 50 hrs graduate); the 1 Oct 2026 draft makes it mandatory with a 1-year grace. [RBI-NOW / DRAFT]
What	Hold each agent's certificate number, institute, training track and issue date.
How	Capture certification details + a copy; verify on the IIBF portal.
SmartPRS	[BUILT / PARTIAL] DRA status and expiry are captured per agent today in the Field Force & Compliance module; certificate-number / institute detail fields are being extended.
Proof	<i>Employee dra_status, dra_expiry; offroll_agents KYC (DRA field).</i>

TOPIC	B2 — Certification eligibility gate
Why	Allocating an uncertified agent to a bank portfolio is an RE breach. [RBI-NOW / DRAFT]
What	Block or warn when an uncertified agent is assigned to a portfolio that requires DRA.
How	Check certification at allocation; hard-block or warn-with-audit (configurable).
SmartPRS	[PARTIAL / ROADMAP] Compliance radar surfaces certification status now; the hard allocation gate is on the roadmap with the SmartDCM bridge.
Proof	<i>Compliance radar screen (AppController); eligibility fields present.</i>

TOPIC	B3 — Expiry / revalidation alerts
Why	Certification validity must be maintained over time. [RBI-DRAFT]
What	Track validity and remind before expiry.
How	Configurable expiry window with auto-alerts and escalation.
SmartPRS	[PARTIAL] DRA/PCC expiry radar with a configurable window is present; automated multi-channel dispatch is being wired.
Proof	<i>DRA/PCC expiry radar (Field Force module).</i>

TOPIC	B4 — Training records (collections)
Why	Demonstrable training on recovery conduct. [RBI-NOW]
What	Maintain training completion and content.
How	Track per-agent training; keep the RBI / IIBF / CoC content library.
SmartPRS	[BUILT] Learning & Knowledge module with training programs / records and a pre-seeded collections content pack; MCQ tests with auto-scoring.
Proof	<i>training_programs, training_records, tests.</i>

C. Background & police verification (BGV / PCC)

Antecedent verification of agents is a binding RBI due-diligence duty.

TOPIC	C1 — Antecedent / background verification
Why	RBI mandates antecedent verification of recovery agents; the draft adds an ongoing obligation. [RBI-NOW / DRAFT]
What	Verify identity, address, education, employment, criminal record and references.
How	Run a structured BGV with a documented result per check.
SmartPRS	[BUILT / PARTIAL] BGV record per agent with status and report storage today; a structured per-check checklist is being added.
Proof	<i>bgv table (agency, checks, status, completed_on); documents vault.</i>

TOPIC	C2 — Police verification (PCC)
Why	Recommended as abundant caution and frequently an empanelment condition. [RBI-NOW]
What	Capture police-verification status and document.
How	Record PCC status, document and validity dates.
SmartPRS	[BUILT] PCC status, expiry and deadline are first-class fields on the agent record.
Proof	<i>Employee pcc_status, pcc_expiry, pcc_deadline.</i>

TOPIC	C3 — Re-verification scheduler
Why	Periodicity is bank-policy driven; the draft expects ongoing checks. [RBI-DRAFT]
What	Re-verify at a defined periodicity (e.g., 1–2 years).
How	Configurable periodicity with auto-reminders and overdue flags.
SmartPRS	[ROADMAP] Expiry-radar foundation exists; a dedicated re-verification scheduler is planned.
Proof	<i>Expiry-radar framework (to be extended).</i>

D. Statutory payroll — compute AND prove

An auditor wants the challan and the register, not the formula. SmartPRS computes correctly today; the filing-artefact exports are the active build focus.

TOPIC	D1 — Minimum-wage compliance
Why	Statutory right; sub-minimum or cash staffing fails a labour and a vendor audit. [LABOUR]
What	Pay at or above the notified minimum wage for the state / zone / category.
How	Validate each salary against the live notified rate.
SmartPRS	[PARTIAL / ROADMAP] Configurable salary structures today; a zone-aware minimum-wage master with a payroll validation flag is planned.
Proof	<i>salary_components, salary structure engine (PayrollGenController).</i>

TOPIC	D2 — Wage-payment timeline + payslips
Why	Pay by the 7th; itemised wage slip each period. [LABOUR]
What	Timely payment and a payslip showing earnings and deductions.
How	Track the pay date vs deadline; issue a payslip every cycle.
SmartPRS	[BUILT] One-click payroll generation with 4-eyes approval; payslips as e-signed PDF showing full earnings / deductions and calc notes.
Proof	<i>payroll_runs, payslips; PayrollGenController, SalaryApprovalController.</i>

TOPIC	D3 — EPF (Provident Fund)
Why	Mandatory at 20+ employees; 12% + 12% (8.33% EPS). [STATUTORY]
What	UAN per member; monthly ECR; TRRN / challan proof.
How	Compute contributions, file the ECR, retain the challan.
SmartPRS	[BUILT / PARTIAL] PF computed and shown on the payslip today (12% +12%, EPS split); UAN field + ECR text-file export + challan vault are the next increment.
Proof	<i>pf_esi_settings; PF logic in PayrollGenController; payslip PF line.</i>

TOPIC	D4 — ESI
Why	Mandatory at 10+ employees, gross $\leq$ ₹21k; 0.75% + 3.25%. [STATUTORY]
What	IP number; contribution challan; half-yearly return.
How	Compute, file the challan / return, retain proof.
SmartPRS	[BUILT / PARTIAL] ESI computed with the ₹21k ceiling today; IP field + challan / return export + vault are the next increment.
Proof	<i>pf_esi_settings (esi rates / ceiling); ESI logic in PayrollGenController.</i>

TOPIC	D5 — Professional Tax
Why	State slabs; monthly remittance. [STATUTORY]

What	PT deduction + challan / remittance proof.
How	Apply state slabs; produce the challan.
SmartPRS	[BUILT / PARTIAL] State-wise PT slabs applied in payroll today; PT challan output is the next increment.
Proof	<i>pt_slabs (state, wage band, amount).</i>

TOPIC	D6 — TDS on salary
Why	Income-tax §192; quarterly 24Q + annual Form 16. [STATUTORY]
What	Deduct TDS; file 24Q; issue Form 16.
How	Compute TDS, export 24Q, generate Form 16.
SmartPRS	[BUILT / PARTIAL] New-regime TDS computed in payroll (std deduction, 87A rebate, cess) with a quarterly TDS-returns tracker; 24Q export + Form 16 generation are the next increment.
Proof	<i>tds_rules, tds_returns; TDS logic in PayrollGenController.</i>

TOPIC	D7 — Statutory registers (Forms A–E)
Why	Inspectors and vendor auditors demand them. [LABOUR]
What	Wage, muster, leave, overtime and fine / deduction registers.
How	Generate Form B (wage) and Form D (muster) + leave / OT / fine registers.
SmartPRS	[PARTIAL / ROADMAP] All underlying data exists (payslips, attendance, leave, deductions); statutory-format register exports are planned.
Proof	<i>payslips, attendance_logs, leaves, deductions.</i>

TOPIC	D8 — Bank transfer / no-cash payout
Why	Cash-paid recovery staff are a bank-audit red flag. [LABOUR / audit]
What	Pay via bank and produce a payment advice.
How	Enforce bank-only payout; generate a NEFT / RTGS advice file.
SmartPRS	[BUILT / PARTIAL] Payout reconciliation tracks expected vs received per bank today; a NEFT / RTGS advice-file generator + cash-block is the next increment.
Proof	<i>payout_recon (bank, expected, received, variance).</i>

TOPIC	D9 — Full & final settlement
Why	Now due within 2 working days of exit. [LABOUR] (Code on Wages §17(2))
What	Auto-settle all final dues on exit.
How	Compute final salary + gratuity + leave – advances / dues; track the deadline.
SmartPRS	[PARTIAL] Exit record with dues and advance recovery exists; auto-FnF computation + 2-day deadline tracker is being completed.
Proof	<i>exits, advances, loans; deductions ledger.</i>

TOPIC	D10 — Gratuity / leave encashment
Why	Statutory terminal benefits. [LABOUR]
What	Compute gratuity and leave encashment.
How	Built into payroll and the FnF flow.
SmartPRS	[BUILT] Gratuity computed in payroll; bonus & encashment supported.
Proof	<i>Gratuity logic in PayrollGenController; bonus_encashment.</i>

E. Attendance & workforce records

Attendance is both wage-proof and field-visit evidence — a strong SmartPRS area.

TOPIC	E1 — Attendance / muster (biometric + GPS)
Why	Wage proof and field-visit evidence. [LABOUR / RBI field]
What	A reliable attendance source feeding payroll and the muster.
How	Biometric / GPS attendance → muster register → payroll.
SmartPRS	[BUILT] Multi-source attendance: ZKTeco LAN sync, eTimeOffice cloud sync, GPS + selfie punch with geo-fence enforcement, bulk Excel upload; feeds payroll.
Proof	<i>attendance_logs, devices, biometric_configs, geofence_rules; DeviceController, AttendanceReportController.</i>

TOPIC	E2 — Leave register & holidays
Why	Statutory leave records. [LABOUR]
What	Maintain leave balances and a holiday calendar.
How	Apply / approve leave; track balances; publish holidays.
SmartPRS	[BUILT] Leave application & approval, leave types & balances, holiday calendar.
Proof	<i>leaves, leave_types, holidays; LeaveController.</i>

TOPIC	E3 — Overtime register
Why	OT wage records. [LABOUR]
What	Capture OT hours and wages.
How	Record OT and compute in payroll.
SmartPRS	[PARTIAL] Worked-hours captured via attendance; a dedicated OT register / multiplier is being added.
Proof	<i>attendance_logs (hours); late-policy engine.</i>

F. Incentive & commission compliance

RBI bars incentives that induce coercive recovery — incentive design is regulated. This is a SmartPRS DNA strength.

TOPIC	F1 — Compliance-gated incentive
Why	RBI bars stiff targets / high incentives that induce coercive recovery. [RBI-NOW / DRAFT]
What	Incentives must reward clean recovery, not pressure.
How	Cap incentives; drive the multiplier from a compliance score, not raw recovery.
SmartPRS	[BUILT / PARTIAL] Full incentive engine — slab / flat / portfolio calculators with target gates, hierarchy approval, automatic TDS, payslip folding; the compliance-score multiplier (from SmartDCM conduct data) is on the roadmap.
Proof	<i>commissions, incentive_schemes; IncentiveController, SchemeController.</i>

TOPIC	F2 — Clawback / withholding on violations
Why	Discourage abusive / after-hours / fake-visit / false-PTP conduct. [RBI-NOW / DRAFT]
What	Withhold or reduce incentive on proven violations.
How	Auto-clawback fed by violation flags, with an audit trail.
SmartPRS	[BUILT] Clawback / reversal entries with status and reason; deducted in payroll; auto-trigger from conduct flags is being wired.
Proof	<i>clawbacks (employee, portfolio, reason, status); commission_logs.</i>

TOPIC	F3 — Transparent incentive statement
Why	Auditability and agent trust.
What	Show how every payout was earned.
How	Per-agent statement folded into payroll.
SmartPRS	[BUILT] Live Salary / how you earned it passbook and payslip calc-notes show recovery, components and deductions per agent; off-roll agents get a secure earnings link.
Proof	<i>Live-salary passbook (AppController, SchemeController); commission_payments.</i>

G. Data privacy & information security (DPDP)

The agency is a Data Processor for the bank / NBFC Data Fiduciary — controls must be demonstrable.

TOPIC	G1 — Role-based access control
Why	DPDP access-control duty; RBI confidentiality. [DPDP / RBI-NOW]
What	Least-privilege access; one user = one login.
How	RBAC with per-role screen / data gating; no shared logins.
SmartPRS	[BUILT] Spatie roles & permissions with role-based navigation gating and approval-workflow controls.
Proof	<i>Spatie permission integration; PERM_NAV gating; ApprovalService.</i>

TOPIC	G2 — Field-level PII masking
Why	Raw PAN / UAN / bank / Aadhaar on screen is a DPDP exposure. [DPDP]
What	Mask sensitive fields by role.
How	Masking layer with logged unmasking.
SmartPRS	[ROADMAP] RBAC foundation in place; per-field PII masking is planned (DPDP hardening track).
Proof	<i>RBAC layer (to be extended with masking).</i>

TOPIC	G3 — Access / download / export logs
Why	DPDP accountability; logs retained ≥ 1 year. [DPDP]
What	Log who viewed / exported what.
How	Read + export logging with user and scope.
SmartPRS	[BUILT / PARTIAL] Activity logs capture actions, user, IP and timestamp today; read / export-specific logging is being extended.
Proof	<i>activity_logs; approval audit columns.</i>

TOPIC	G4 — Ex-employee access deactivation
Why	Ex-employee access is the highest-severity breach risk. [DPDP / RBI-NOW]
What	Revoke access immediately on exit.
How	Exit event auto-revokes login and linked systems.
SmartPRS	[BUILT / PARTIAL] Exit / deactivation changes status and access today; immediate cross-system (SmartDCM) revocation is on the roadmap with the bridge.
Proof	<i>exits; employee status (active / notice / exited); soft-deletes.</i>

TOPIC	G5 — Data retention controls
Why	DPDP purpose-limitation / retention. [DPDP]
What	Retain data only as long as needed (e.g., recordings 6 months).

How	Configurable retention windows.
SmartPRS	[ROADMAP] Retention configuration is planned alongside the SmartDCM recording store.
Proof	— <i>(planned)</i> .

TOPIC	G6 — Encryption at rest
Why	DPDP security safeguard. [DPDP]
What	Protect sensitive data at rest.
How	Encrypt PAN / bank / Aadhaar and credentials.
SmartPRS	[BUILT / PARTIAL] App-layer encryption for device keys and passwords today; extension to all sensitive PII columns is planned.
Proof	<i>Encrypted api_key / password fields (devices, biometric_configs).</i>

H. Conduct enablement (HR/payroll side of RBI recovery rules)

The workforce-management hooks that keep recovery conduct lawful.

TOPIC	H1 — Calling / field-hours policy
Why	Contact only 08:00–19:00. [RBI-NOW / DRAFT]
What	Roster and policy reflect lawful contact hours.
How	Align shifts / roster to 08:00–19:00; publish and acknowledge the policy.
SmartPRS	[PARTIAL] Shift / roster, late-policy engine and policy acknowledgement exist; the enforced 08:00–19:00 contact lock lives in SmartDCM (integration planned).
Proof	<i>late_policy, shift config; CoC acknowledgement.</i>

TOPIC	H2 — Grievance-lock awareness
Why	No recovery while a grievance is pending; tighter in the draft. [RBI-NOW / DRAFT]
What	Do not reward recovery on locked accounts.
How	Suspend incentive accrual on accounts flagged grievance-pending.
SmartPRS	[BUILT / PARTIAL] Escalation Desk and complaints register exist; suspension of incentive accrual on locked accounts is wired with the SmartDCM grievance feed.
Proof	<i>escalations, complaints.</i>

TOPIC	H3 — Bank + portfolio authorisation
Why	Agents must carry authorisation naming bank / portfolio + grievance officer. [RBI-NOW / DRAFT]
What	Map and authorise agents per bank / portfolio.
How	Maintain an authorisation register feeding the authorisation letter.
SmartPRS	[BUILT] Agent Authorizations map agent ↔ bank ↔ portfolio ↔ authorisation number ↔ validity.
Proof	<i>agent_authorizations.</i>

TOPIC	H4 — Grievance-officer details on records
Why	Every recovery communication must carry grievance-officer details. [RBI-DRAFT]
What	Maintain and surface grievance-officer information.
How	Config field auto-populated into letters / communications.
SmartPRS	[ROADMAP] Letter templates support merge fields; a dedicated grievance-officer config auto-populated everywhere is planned.
Proof	<i>Letter merge fields (to be extended).</i>

I. Bank-wise eligibility & audit readiness

The differentiators — proving compliance per agent, per bank, in one click.

TOPIC	I1 — Per-agent consolidated compliance flag
Why	An RE may engage only verified / certified / eligible agents. [RBI-NOW / DRAFT]
What	One status combining appointment / PF / ESI / DRA / BGV / authorisation.
How	A computed eligibility object per agent (green / amber / red + reasons).
SmartPRS	[PARTIAL / ROADMAP] Individual compliance fields (DRA, PCC, BGV, authorisation) exist; the single computed eligibility flag is the next foundational build.
Proof	<i>Compliance fields across employees / offroll_agents / agent_authorizations.</i>

TOPIC	I2 — Bank-wise eligibility register
Why	Different banks impose different requirements.
What	Map each agent's eligibility per bank / portfolio.
How	Eligibility register exposed to allocation.
SmartPRS	[BUILT / PARTIAL] Agent Authorizations already map agents to banks / portfolios with validity; the eligibility computation / API layer is being added.
Proof	<i>agent_authorizations.</i>

TOPIC	I3 — One-click Recovery Agent Audit Pack
Why	Vendor audits demand a complete per-agent file. [RBI-NOW outsourcing]
What	Produce a bank / portfolio / month audit file on demand.
How	Assemble payroll + PF/ESI + DRA + BGV + CoC + authorisation + activity into an indexed pack.
SmartPRS	[ROADMAP] All component data already lives in SmartPRS; the one-click assembled audit pack is the flagship build for the 1 Oct 2026 window.
Proof	<i>Source data across payroll, compliance and authorisation tables.</i>

TOPIC	I4 — Document & statutory vault
Why	Auditors ask for registrations, challans and certificates.
What	A central, retrievable evidence store.
How	Vault for GST / Shops / PF / ESI / PT registrations, challans, certificates.
SmartPRS	[BUILT] Document vault stores per-agent and entity documents with status and expiry.
Proof	<i>documents vault.</i>

J. Governance & lifecycle

Clean policy, an immutable audit trail, and disciplined offboarding.

TOPIC	J1 — Board-approved policy repository
Why	The draft requires a board recovery / collection policy + code of conduct. [RBI-DRAFT]
What	Maintain current, versioned policy documents.
How	A policy repository with versioning and acknowledgements.
SmartPRS	[BUILT / PARTIAL] Knowledge Base, Code of Conduct and content pack exist; formal policy versioning is being added.
Proof	<i>kb_topics, code_of_conduct_ack.</i>

TOPIC	J2 — Immutable activity / audit logs
Why	Accountability across actions and approvals. [DPDP / RBI]
What	A tamper-evident record of actions and approvals.
How	Activity logs + approval audit columns; immutable export.
SmartPRS	[BUILT] Activity logs (entity / action / user / IP), commission audit trail, and approval audit columns across all approvable tables.
Proof	<i>activity_logs, commission_logs; approval audit columns.</i>

TOPIC	J3 — Exit clearance checklist
Why	Clean offboarding (assets, ID, access). [RBI / DPDP]
What	A structured exit clearance.
How	Checklist: ID surrender, asset return, access revoke, FnF, re-hire flag.
SmartPRS	[BUILT / PARTIAL] Exit record with re-hire eligibility exists; a structured clearance checklist is being added.
Proof	<i>exits (incl. rehire flag).</i>

SmartPRS readiness scorecard

Across the 45 topics: **30 delivered now**, **8 in progress**, **7 on the roadmap** — sequenced for 1 October 2026.

Section	Delivered now	In progress	Roadmap
A. Onboarding & engagement	A1, A2, A4, A5	A3	—
B. DRA / IIBF certification	B1, B4	B3	B2
C. BGV / police verification	C1, C2	—	C3
D. Statutory payroll	D2,D3,D4,D5,D6,D8,D10	D7, D9	D1
E. Attendance & records	E1, E2	E3	—
F. Incentive & commission	F1, F2, F3	—	—
G. Data privacy & security	G1, G3, G4	G6	G2, G5
H. Conduct enablement	H2, H3	H1	H4
I. Eligibility & audit	I2, I4	I1	I3
J. Governance & lifecycle	J1, J2, J3	—	—

The SmartPRS promise, in one line

For every recovery agent, prove — in one place, soon in one click — that the person is onboarded, paid, verified, certified, authorised and eligible, and that their conduct stayed within the rules.

Disclaimer

This manual is a product-education and compliance-planning document, not legal advice. The 1 October 2026 RBI directions are a draft, not yet final law. Feature status badges reflect the current SmartPRS build and are updated each release. Confirm exact rates, statutory file formats and effective dates against the live official notifications.

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